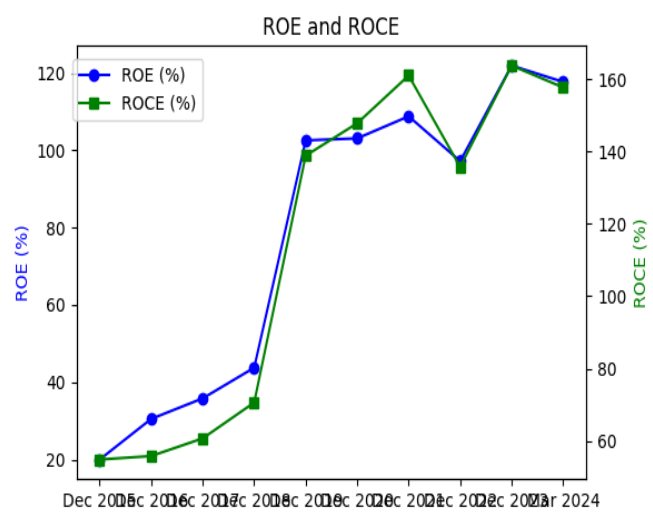
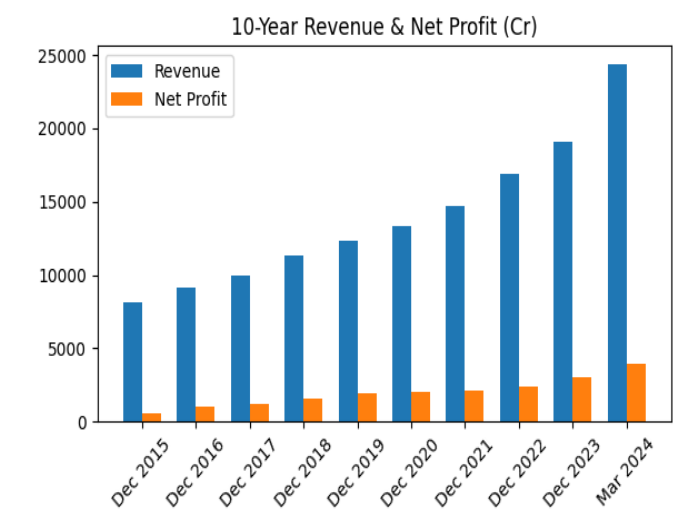
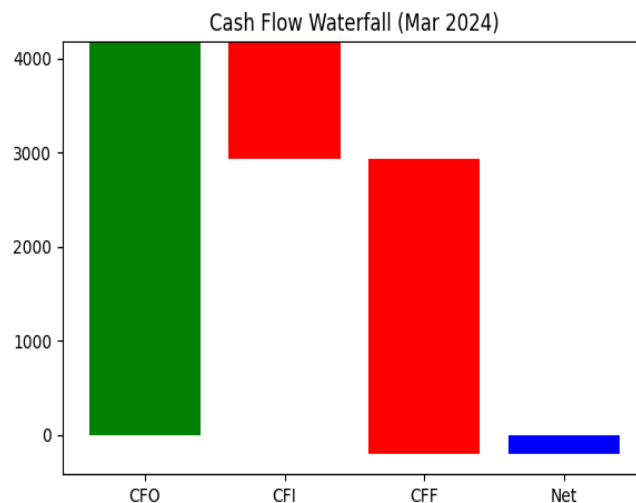
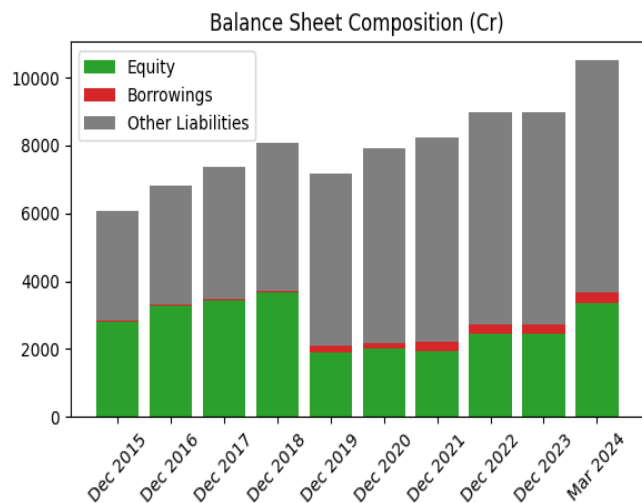


# Nestle India Ltd (NESTLEIND)

|                              |                                    |                                          |
|------------------------------|------------------------------------|------------------------------------------|
| <b>Revenue</b><br>■19,786 Cr | <b>Net Profit</b><br>■3,323 Cr     | <b>ROE</b><br>117.8%                     |
| <b>ROCE</b><br>157.7%        | <b>CFO Quality</b><br>High Quality | <b>Allocation</b><br>Shareholder Returns |





### Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable

## Capital Allocation Pattern: Shareholder Returns